

# SOLVING THE SECOND ORDER DROP



Product Teardown

User Retentions

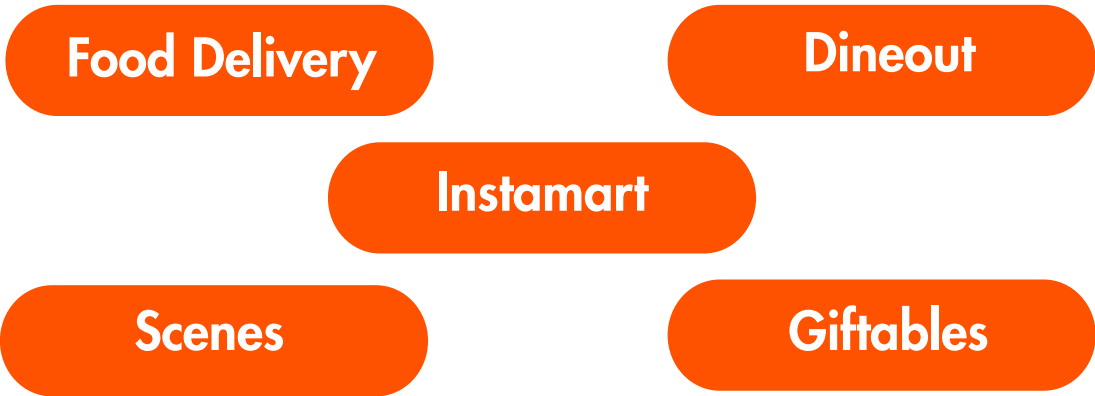


COMPANY SNAPSHOT

**Founded:** 2014  
**HQ:** Bengaluru

Pivoted from logistics startup Bundl to India's leading food delivery & quick commerce platform.

What Swiggy sells



MISSION

Elevate the quality of life for the urban consumer by offering unparalleled convenience, one tap at a time.

₹23,053Cr

FY26 revenue (+45% YoY)

\$2.1B+

Instamart annualized GOV  
(~4x in 2yrs)

25.2M

Platform monthly transacting users

~3.9M

Orders per day (food + Instamart)

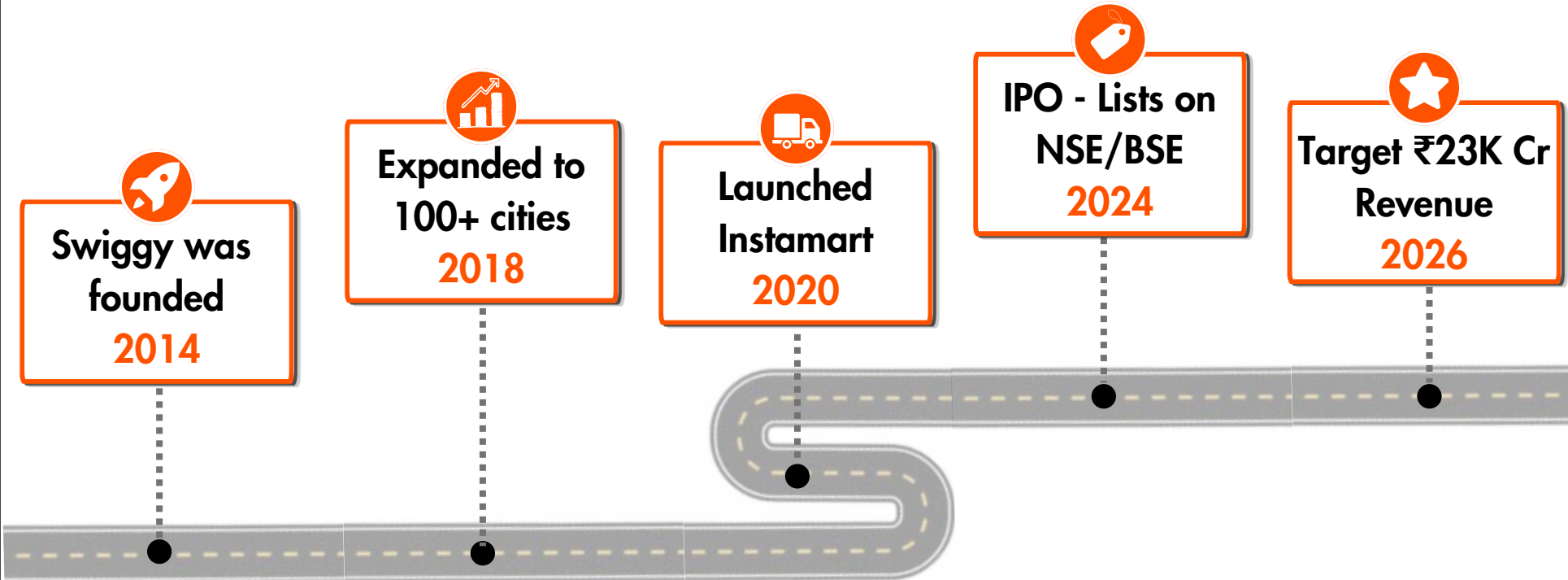
₹68,900Cr

Market cap (Jun 2026)

How Swiggy makes money

- Commission & restaurant fees** - take-rate on every food delivery order.
- Product margin** - markup on Instamart's directly sourced inventory.
- Delivery & surge fees** - dynamic pricing by demand and distance.
- Platform fee** - flat per-order charge across food & Instamart.
- Subscriptions** - Swiggy One membership for free delivery & perks.
- Ads & retail media** - restaurant & FMCG brand placements.

Swiggy's Growth Timeline



PRODUCT STRATEGY

**BUSINESS CONTEXT**

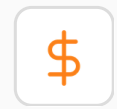
- High acquisition spend
- Low switching cost
- Grocery is habit-driven
- Repeat purchases determine profitability

**ABOUT INSTAMART**

Launched in **August 2020**, **Instamart** is India's leading quick commerce platform. Present in over **125+ cities**, Instamart uses Swiggy's superior technology and dedicated delivery fleet to bring groceries and other essentials in categories to the doorsteps of Indians in **10 minutes**.

**THE PROBLEM**

Many first-time users fail to develop a repeat purchasing habit, leading to low **30-day retention** and **reduced customer lifetime value**.



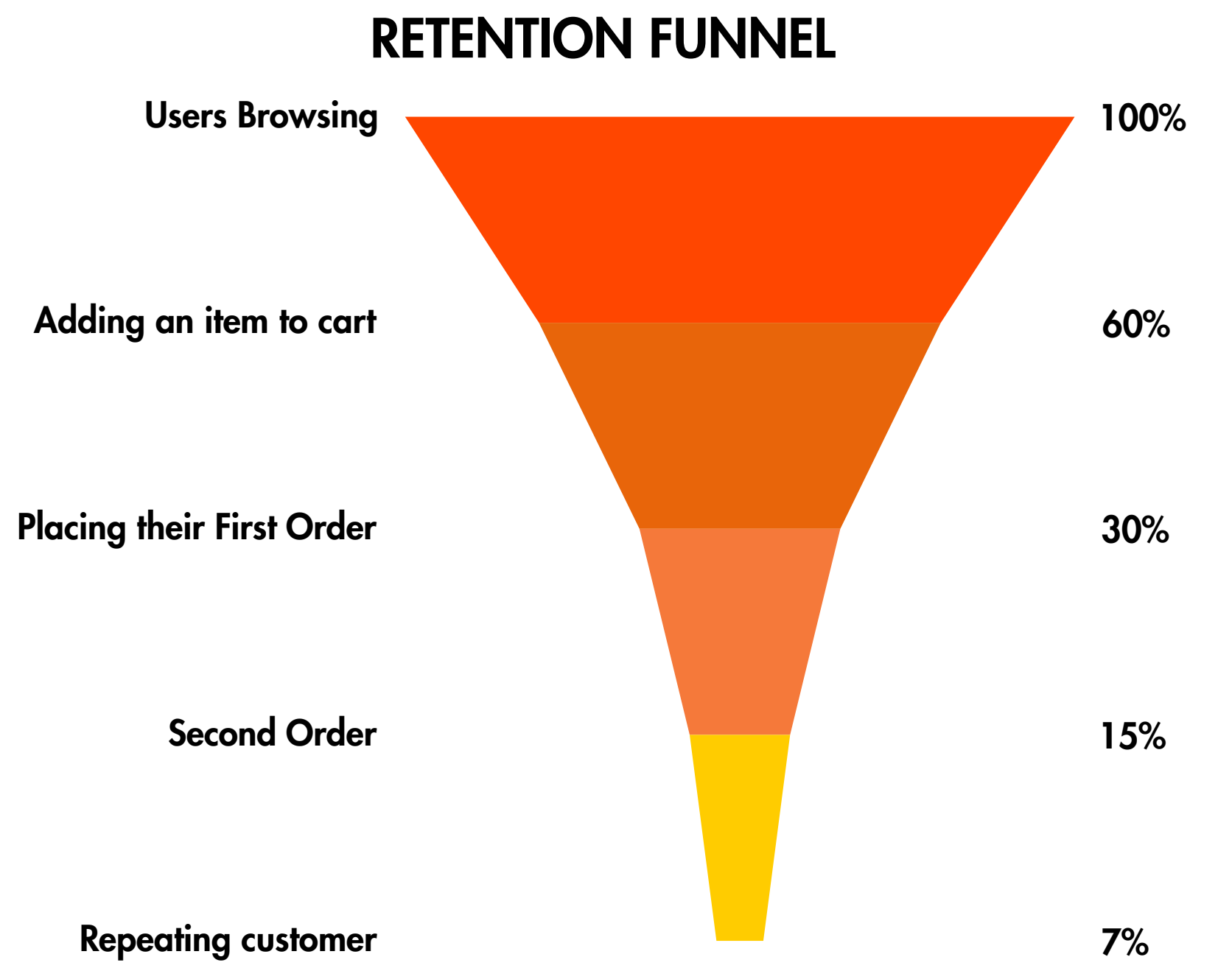
Higher Customer Acquisition Cost



Lower Customer Lifetime Value



Users switch to local stores & competitors



**OBJECTIVE**

Increase second-order conversion within 30 days by identifying

- friction points
- behavioural triggers
- product interventions



# USER RESEARCH AND INSIGHTS

Users are satisfied, but not attached.



## PRIMARY RESEARCH 60 Survey Responses + 8 In-depth Interviews

### WHAT USERS CONSISTENTLY TOLD US

First order performs well

★★★★☆ 4.3/5

Fast Delivery

Product Availability

Easy Checkout

Result

Positive first impression

### WHY USERS DON'T RETURN

| Rank | Insight                        | Evidence         |
|------|--------------------------------|------------------|
| 1    | Local kirana remains default   | Mentioned by 70% |
| 2    | Delivery fees reduce value     | Mentioned by 58% |
| 3    | No habit trigger               | Mentioned by 54% |
| 4    | Competitors remain top-of-mind | Mentioned by 43% |



Top Themes from User Feedback (Word Cloud)

### INTERVIEW VOICES

//

I only open Instamart when I urgently need something.

//

My local kirana is still my default.

//

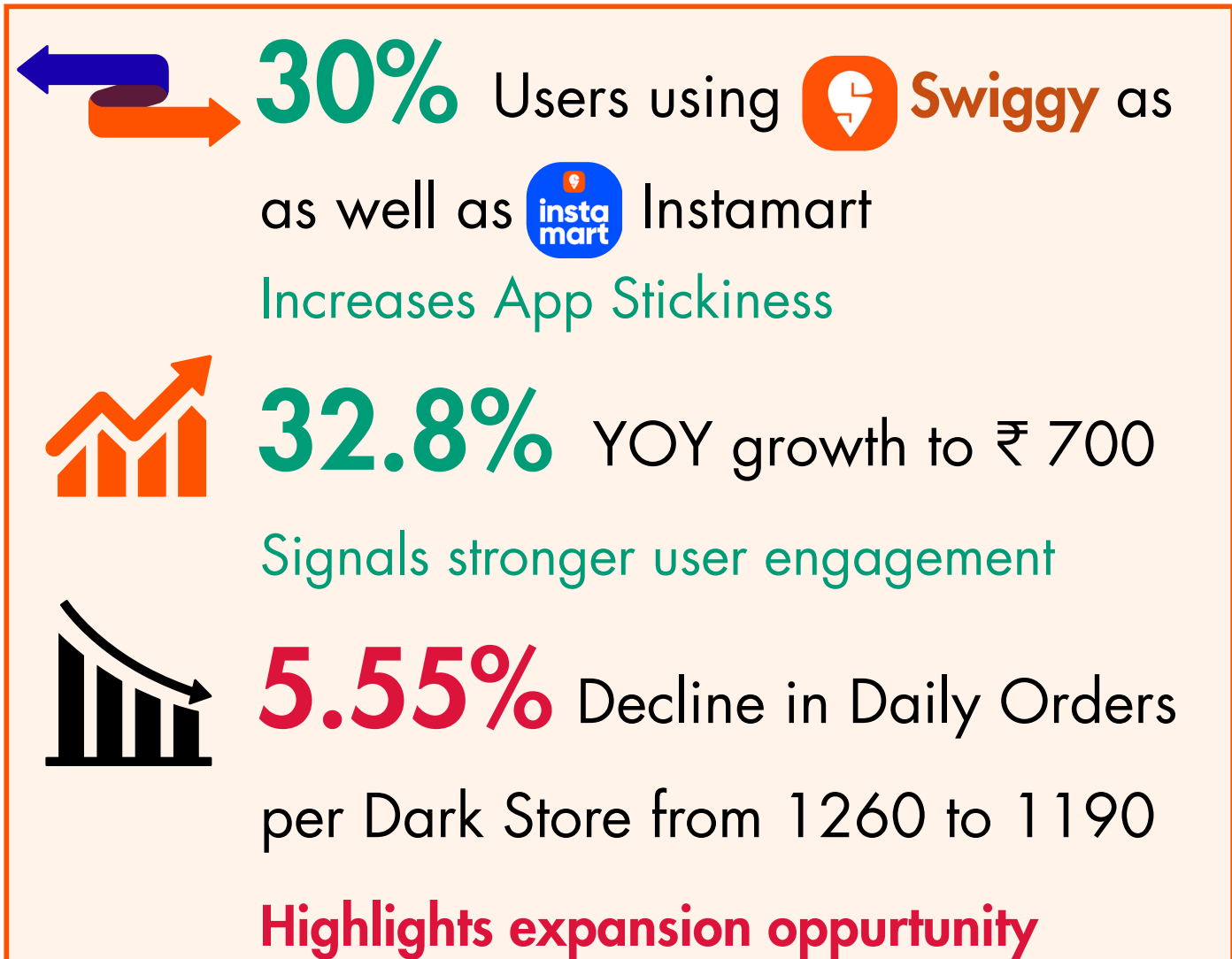
I'll pay more if quality stays consistent.

### KEY INSIGHT

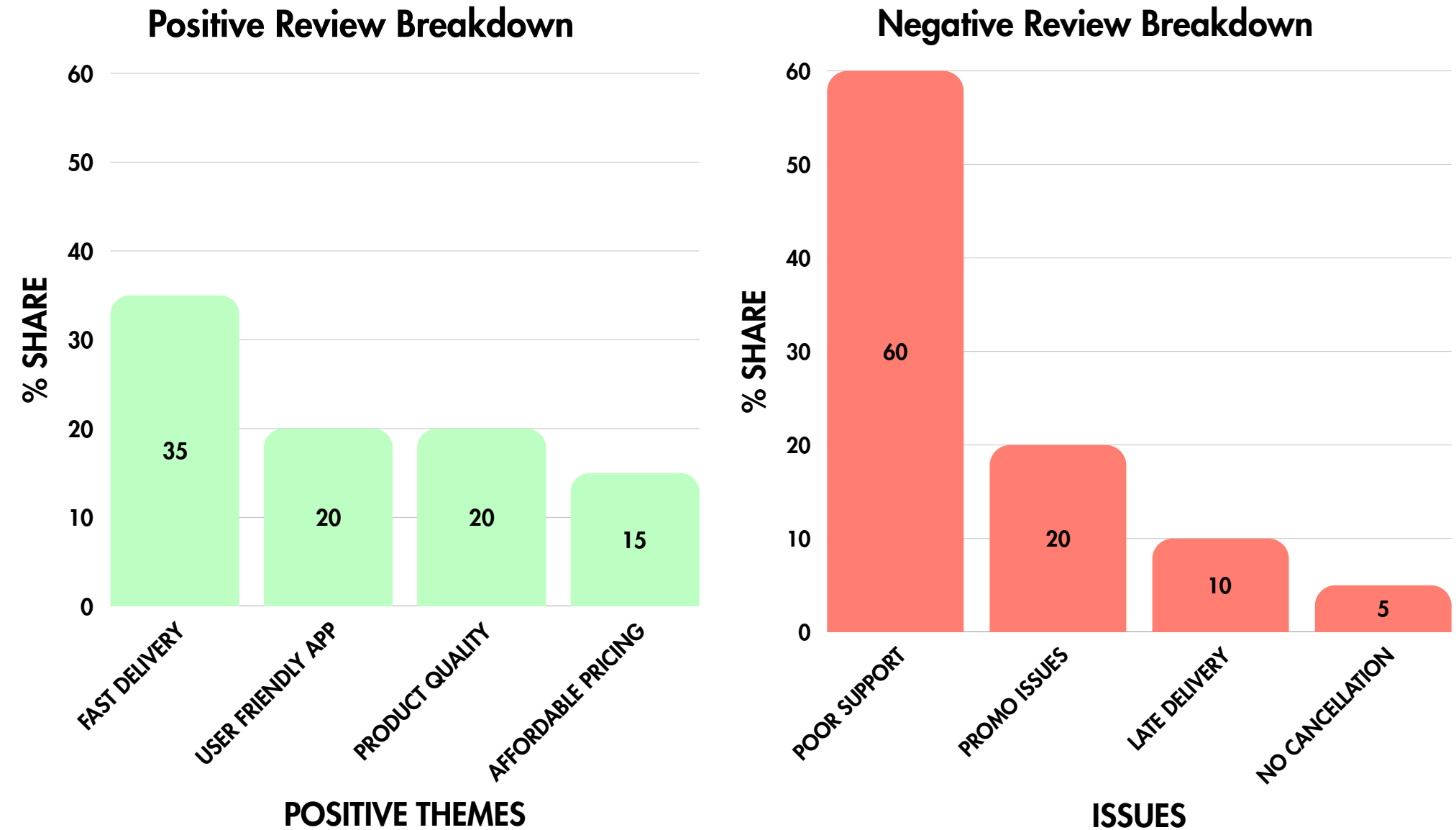
Instamart wins the first order, but fails to build a repeat grocery habit. Users are satisfied with the experience; however, offline habits, weak re-engagement triggers, and limited ongoing value prevent second-order conversion.



## SECONDARY RESEARCH



## User Review Analysis



## KEY INSIGHTS

**Speed builds loyalty**  
Fast delivery is the strongest repeat purchase driver.

**Trust breaks post-purchase.** Complaints emerge after checkout, not before.

**Recovery > Resolution.**  
Poor refunds and support amplify fulfilment errors.

**Small bugs, big impact.** Promo failures erode user trust.

**Ecosystem drives stickiness.** Cross-platform users exhibit stronger engagement.

# WHY USERS DRIFT

The competition isn't winning on product. It's winning on habit.

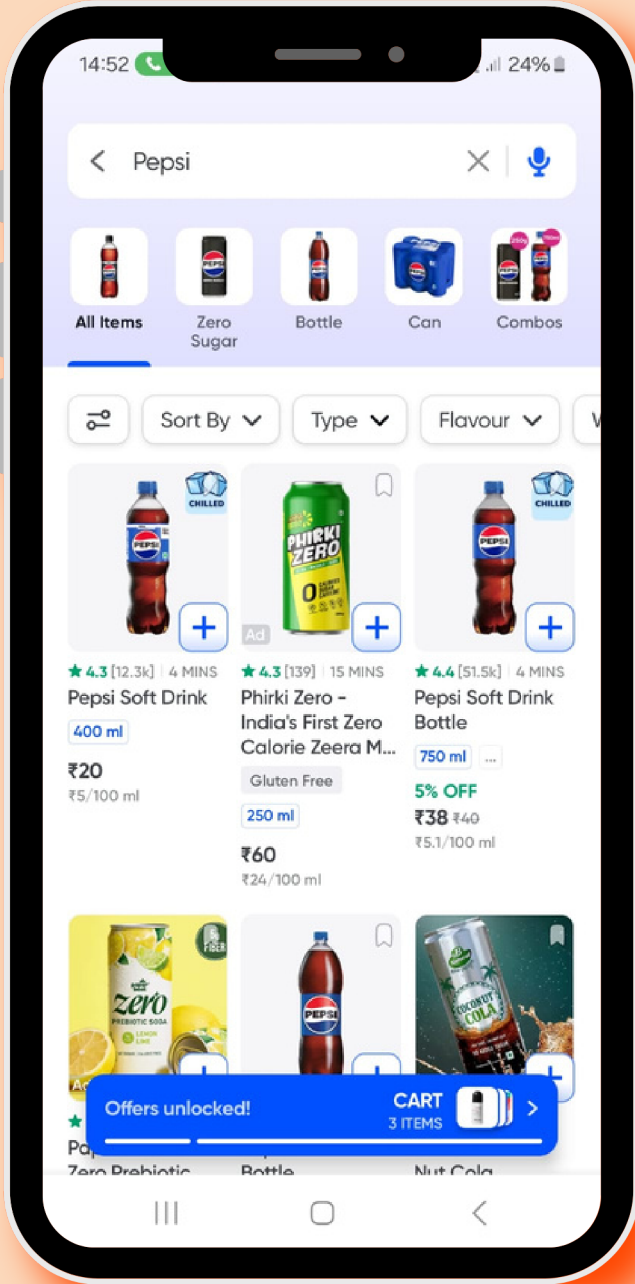
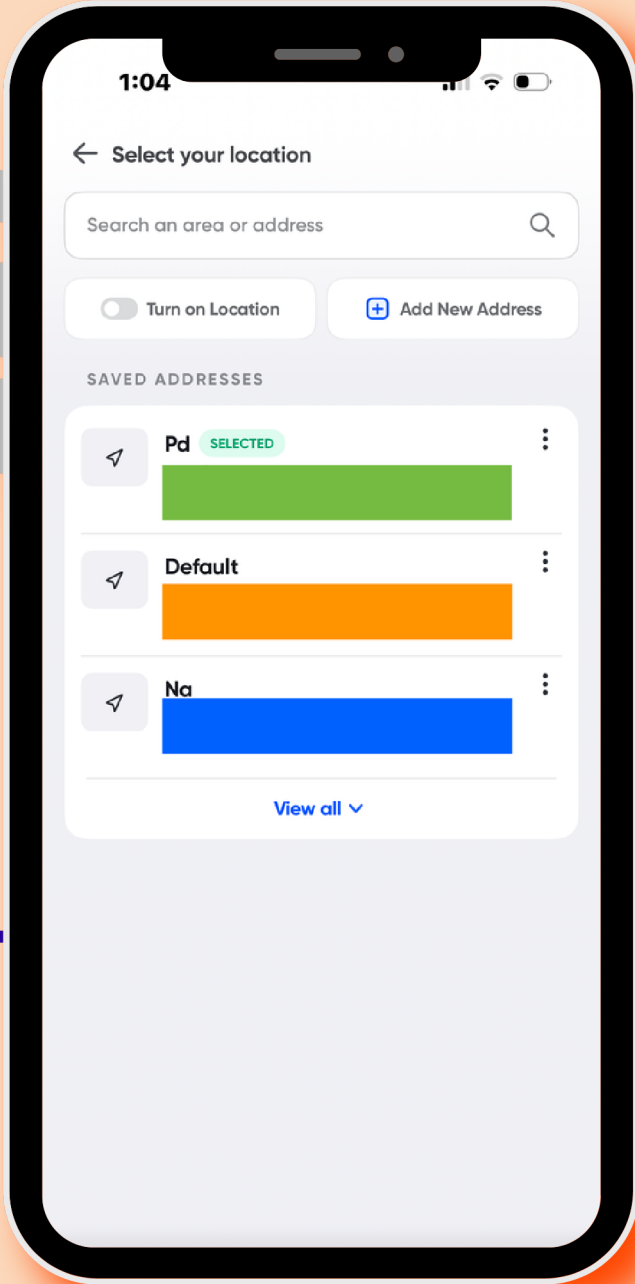
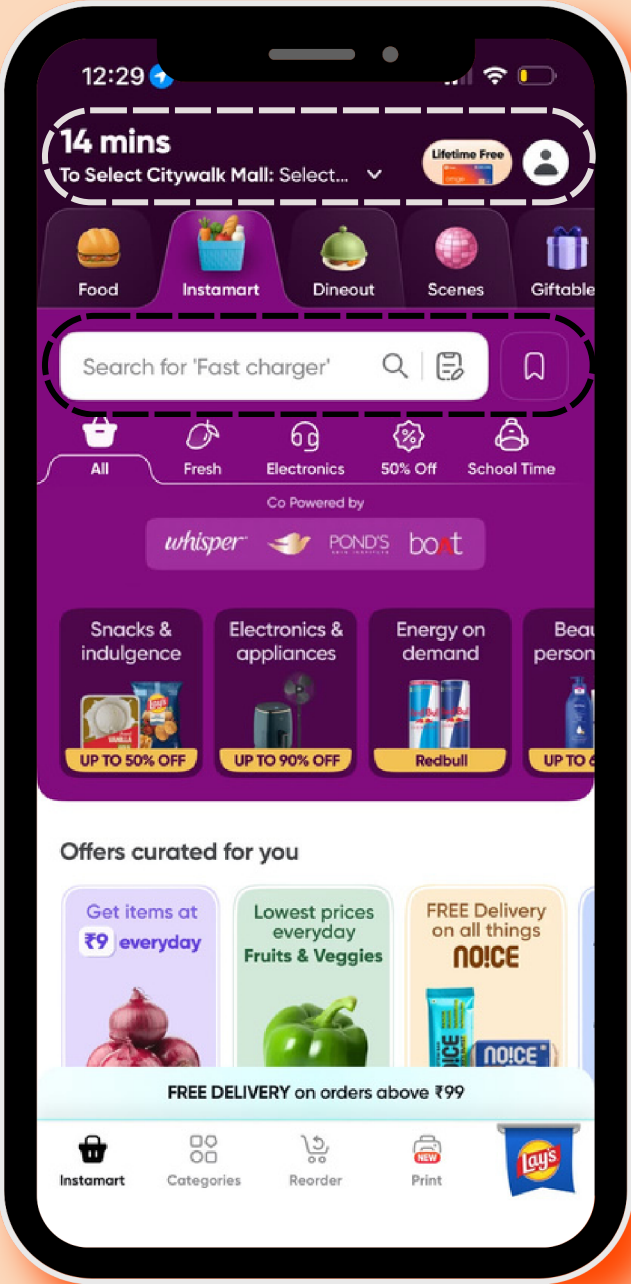


The battle is not for the first order. The battle is to become the **default grocery app**.

| Competitor                                                                                            | Share / Scale                              | Wins Because / Strengths                                                                                                                                                                                            | Current Gap                                                    | Owns                                                          |
|-------------------------------------------------------------------------------------------------------|--------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------|---------------------------------------------------------------|
|  <b>Local Kirana</b> | Major share of India's vast grocery market | <ul style="list-style-type: none"><li>• Deep-rooted personal trust</li><li>• Interest-free 'khata' credit</li><li>• Zero decision effort</li><li>• Instant issue resolution &amp; easy replacements</li></ul>       | Incosistent delivery logistics                                 | <b><i>Owns the high-frequency ordering market</i></b>         |
|  <b>Blinkit</b>      | ~45-50% share · 2,243 dark stores          | <ul style="list-style-type: none"><li>• Densest network - 1,954+ stores</li><li>• First to hit EBITDA breakeven</li><li>• ~90% first-party inventory</li><li>• Densest dark store network (1,950+ stores)</li></ul> | Premium delivery/Surge pricing                                 | <b><i>Owns reliable, always-available convenience</i></b>     |
|  <b>Zepto</b>      | ~21-28% share · 1,139 dark stores          | <ul style="list-style-type: none"><li>• Fastest growth ~119.5% CAGR</li><li>• Densification - 1.83 km avg. delivery</li><li>• ₹1,389 Cr FY26 ad spend</li></ul>                                                     | Inconsistent fresh produce quality                             | <b><i>Owns discount-driven trial; retention unproven</i></b>  |
|  <b>Instamart</b>  | ~20-27% share · 1,143 dark stores          | <ul style="list-style-type: none"><li>• Cross-sell from 50M+ Swiggy users</li><li>• AOV up 33% YoY to ₹700</li><li>• Contribution margin still -1.1%</li><li>• No habit loop of its own</li></ul>                   | Low daily grocery habituation and fierce ecocystem competition | <b><i>Owns food-delivery habit, not yet grocery habit</i></b> |

# USER JOURNEY

Mapping the critical moments between product discovery and cancellation to identify retention opportunities.



Customer experience

Tabs



Swiggy  
Opening  
Screen



Homepage  
(Lacks Personalised  
Recommendations)



Selecting  
Preferred  
Location



User searches for the product  
and draws comparison on  
the basis of price, ratings,  
and delivery time.

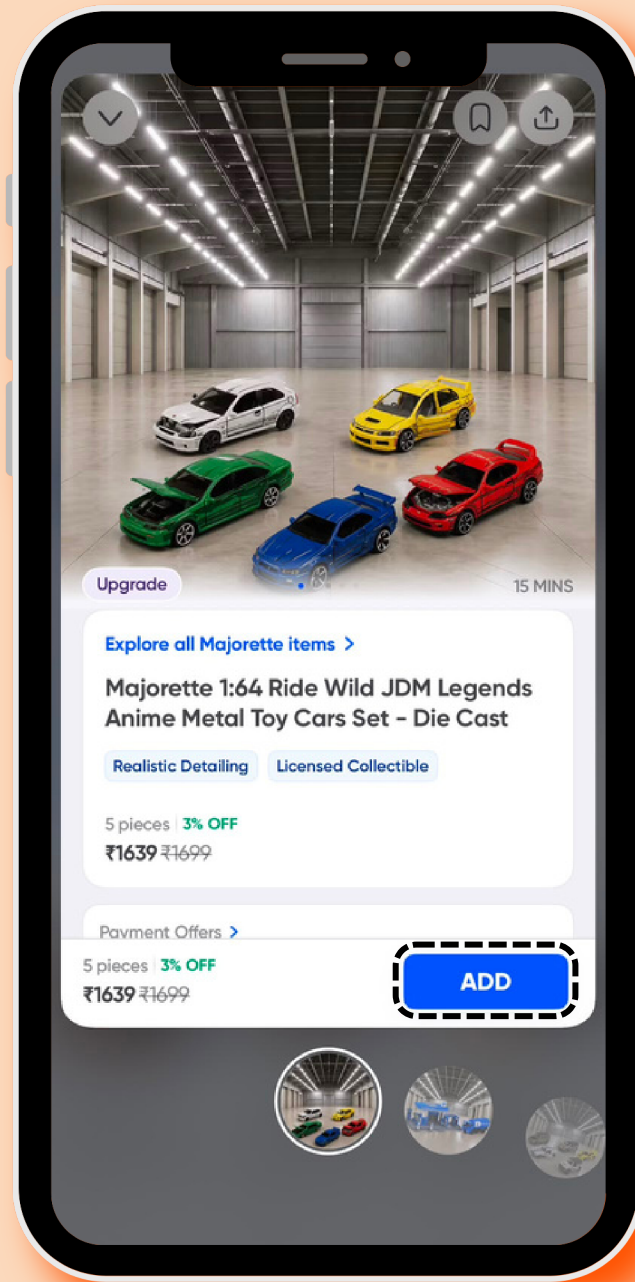


# USER JOURNEY .....

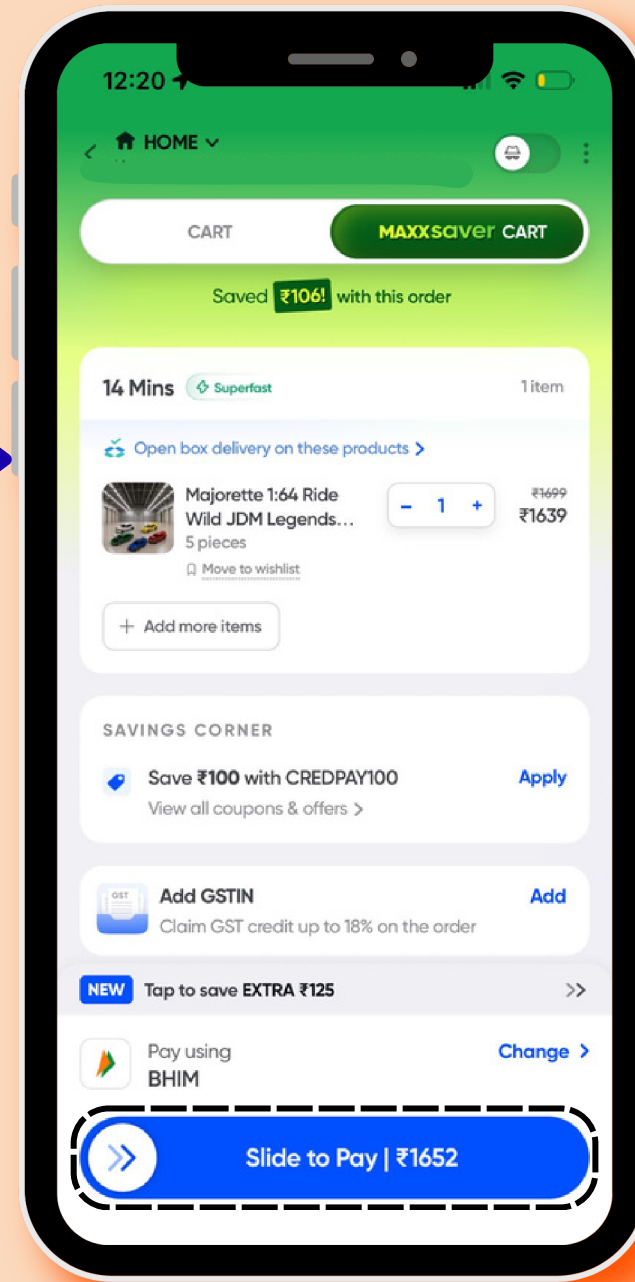
Mapping the critical moments between product discovery and cancellation to identify retention opportunities.



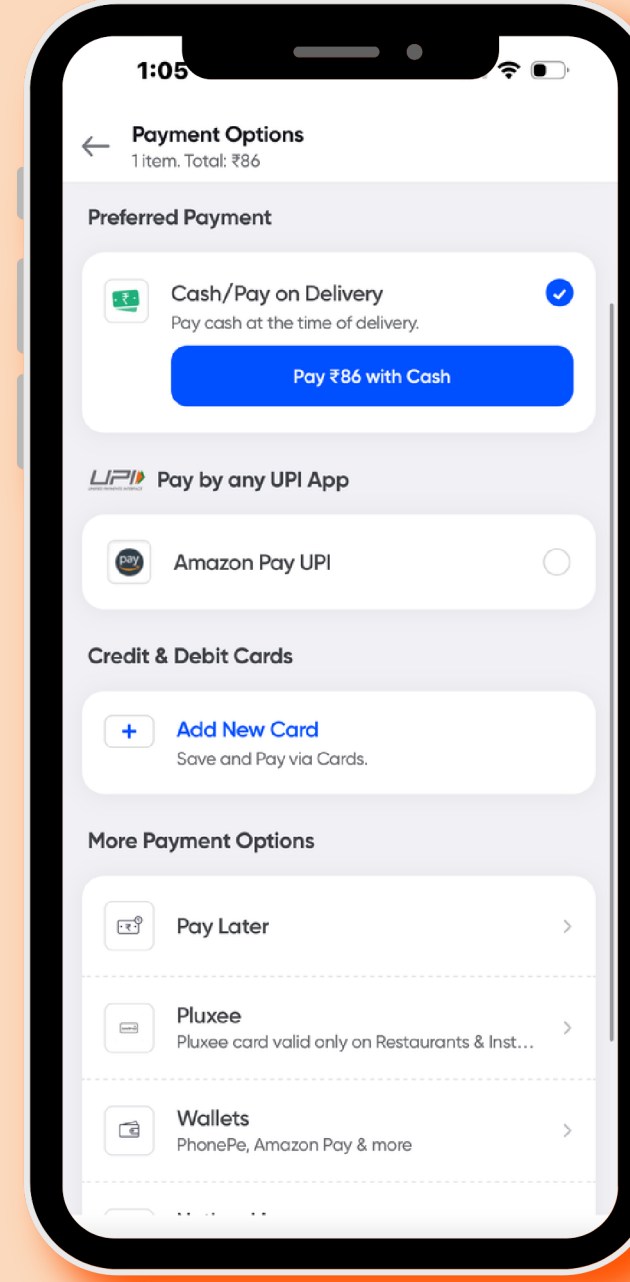
Instamart



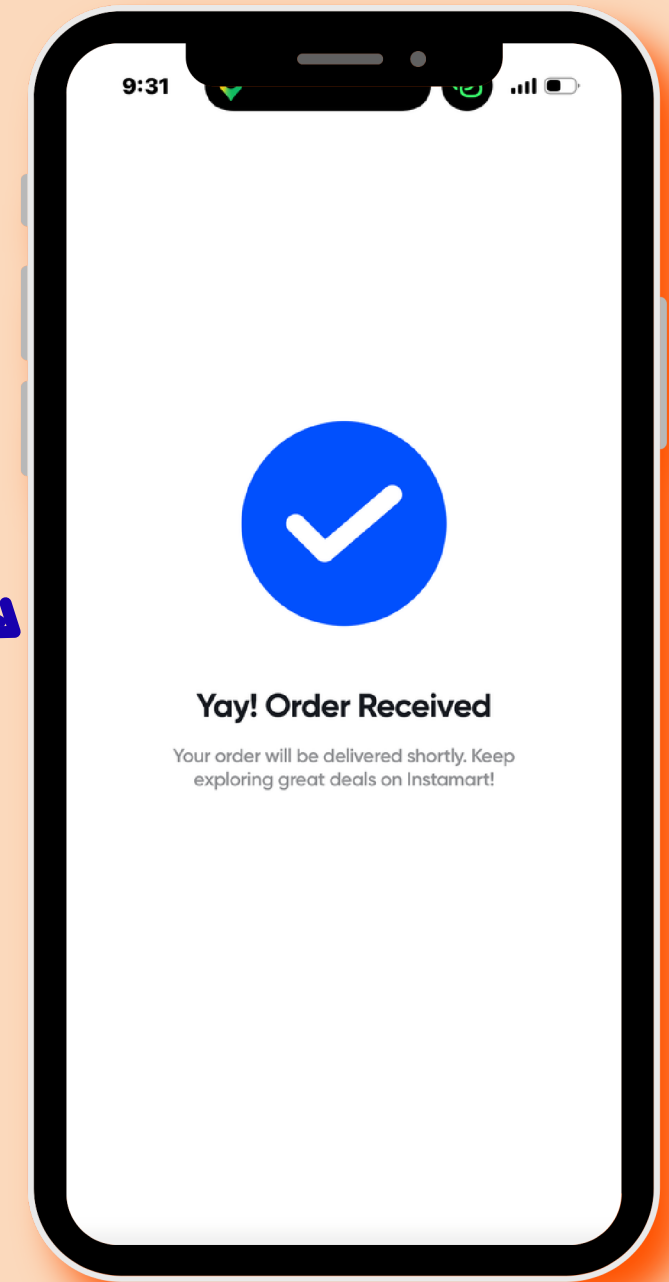
Customer can  
select a product to  
check for more details



Cart  
Users can apply  
Coupons or Vouchers



Selecting  
Payment  
Mode

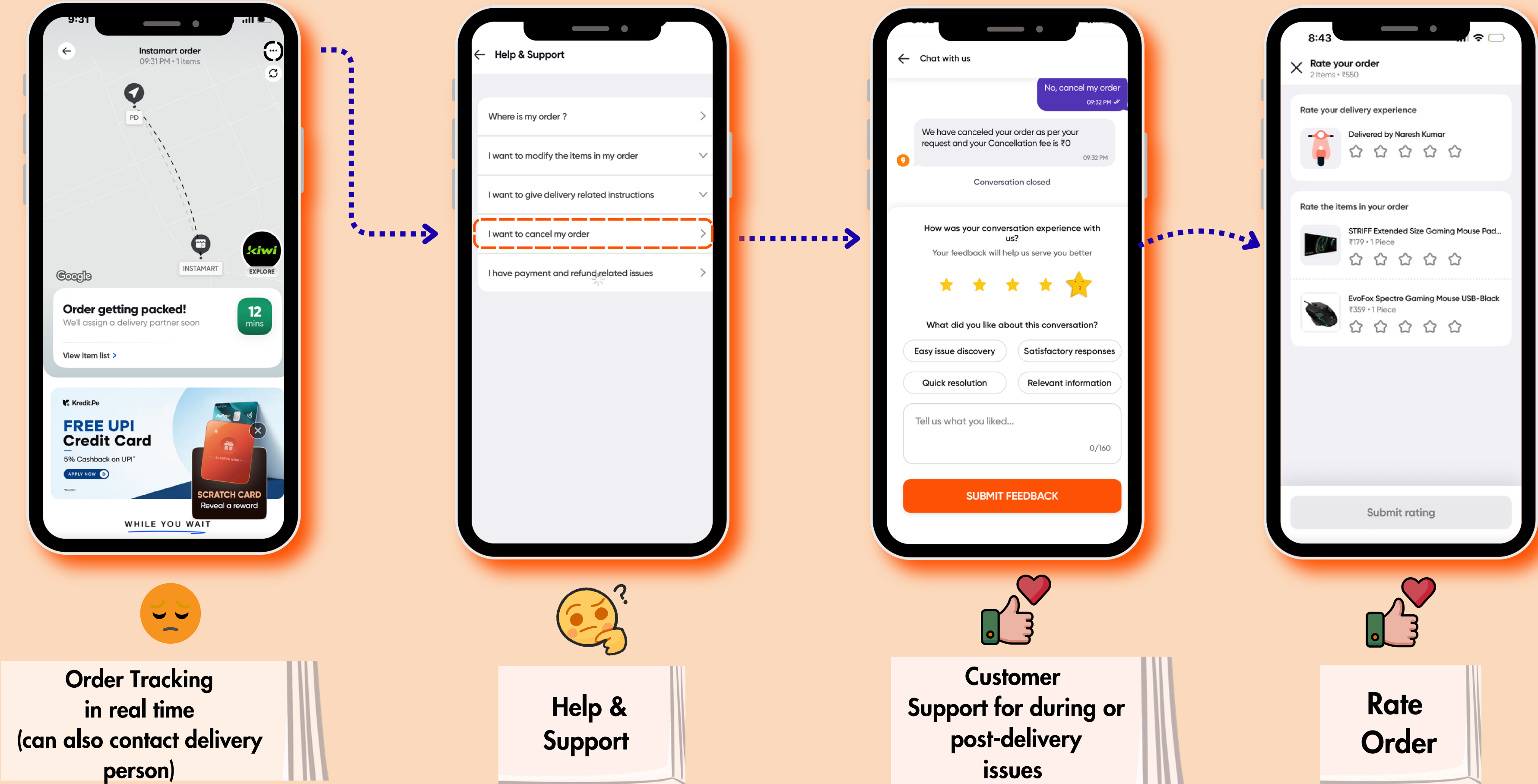


Order  
Is  
Completed  
(Black Store Receives the order)

# USER JOURNEY

Mapping the critical moments between product discovery and cancellation to identify retention opportunities.





# USER PERSONA – A

Two dominant behavioural patterns observed during user research and analysis



Instamart



## The Swiggy Loyalist

AARAV SHARMA

HIGH  
POTENTIAL

*"I already use Swiggy every day.  
Groceries just never cross my mind."*

### PROFILE

|            |                                |
|------------|--------------------------------|
| AGE        | 25                             |
| OCCUPATION | Software Engineer at Accenture |
| LOCATION   | Bangalore                      |
| INCOME     | ₹13 LPA                        |

### NEEDS FROM INSTAMART

- Seamless integration with existing Swiggy habits
- Timely reminders and contextual nudges
- Better Customer care support
- Faster discovery of recurring essentials



### PSYCHOGRAPHICS

#### Mindset

- Values convenience over searching for alternatives
- Prefers familiarity instead of trying new apps
- Expects services to anticipate needs

#### Shopping Behaviour

- Grocery shopping is reactive and not planned
- Buys groceries only when a need arises
- Does not actively browse grocery categories

### LIFESTYLE

- Busy professional with limited time for household tasks
- Relies heavily on digital platforms for everyday convenience
- Prefers solutions that reduce decision-making and effort
- Uses Swiggy frequently as part of daily routine

### PAIN POINTS

- **Instamart is not on top-of-mind:** No strong trigger reminds users that groceries are available
- **No post-order engagement:** After first purchase, there is no reason to return
- **Grocery remains a disconnected experience:** Food habit and grocery habit exist separately





The Habit Shopper

NEHA VERMA

HABIT DRIVEN

*“My local kirana already knows what I need.”*

PSYCHOGRAPHICS

Mindset

- Trust matters more than convenience
- Avoids changing established routines
- Believes local stores understand their needs

Shopping Behaviour

- Buys recurring essentials regularly
- Has fixed grocery patterns
- Prefers known quality over experimentation

PROFILE

|            |                   |
|------------|-------------------|
| AGE        | 34                |
| OCCUPATION | Assistant manager |
| LOCATION   | Mumbai            |
| INCOME     | Rs 24 LPA         |

LIFESTYLE

- Follows predictable household routines
- Plans grocery purchases around family needs
- Values reliability and familiarity
- Maintains long-term relationships with local stores

NEEDS FROM INSTAMART

- Trust comparable to local kirana stores
- Predictable grocery replenishment
- Familiar shopping experience
- Stronger value perception



PAIN POINTS

- Local kirana remains the default choice: Existing relationship creates strong retention
- Habit outweighs convenience: Users deny to change routine for marginal benefits
- Platform fees reduce perceived value: Online grocery feels less economical than offline

# CUT THROUGH PRIORITISATION

Choosing the most relevant pain point



We have 4 pain points for Instamart retention. Picking exactly **ONE** to focus on shows we can think, not just list.

| Problem                         | Goal Alignment                                                            | Severity                                                                    | User Impact                                                               | Pick?            |
|---------------------------------|---------------------------------------------------------------------------|-----------------------------------------------------------------------------|---------------------------------------------------------------------------|------------------|
| Delivery Issue                  | <div>High</div> <div>breaks the core 10-15 min promise</div>              | <div>High</div> <div>most common complaint, peak hours</div>                | <div>Med</div> <div>Users switch to competitors for immediate need</div>  | —                |
| Need to build cart from scratch | <div>High</div> <div>Friction at the most critical retention moment</div> | <div>Med</div> <div>Returning users face max effort for repeat orders</div> | <div>Med</div> <div>Drives a drop in CSAT(Customer satisfaction)</div>    | —                |
| Complex Refund Process          | <div>Med</div> <div>hurts sentiment, not the trigger</div>                | <div>Med</div> <div>only surfaces after another issue</div>                 | <div>High</div> <div>Hlghly likely to uninstall the app</div>             | —                |
| Weak T.O.M.A. for Instamart     | <div>High</div> <div>gates whether users open us at all</div>             | <div>High</div> <div>underlies every single reorder decision</div>          | <div>High</div> <div>Low organic app opens, heavily reliant on ads.</div> | <div>■ YES</div> |

## DECISION

We'll prioritise **Weak T.O.M.A. for Instamart**. It gates whether users open the app at all and underlies every single reorder decision the highest-leverage lever for retention, even though it needs sustained investment in habit loops, notifications and streaks



## 01 THE BASELINE FIX

### How does the solution work ?

This solution offers a cross-selling strategy that leverages the existing food ordering journey to drive adoption of Instamart with minimal user friction. Instead of asking users to separately browse Instamart, it surfaces relevant grocery items at the point of checkout when purchase intent is already high.

#### One-tap Add-to-Cart

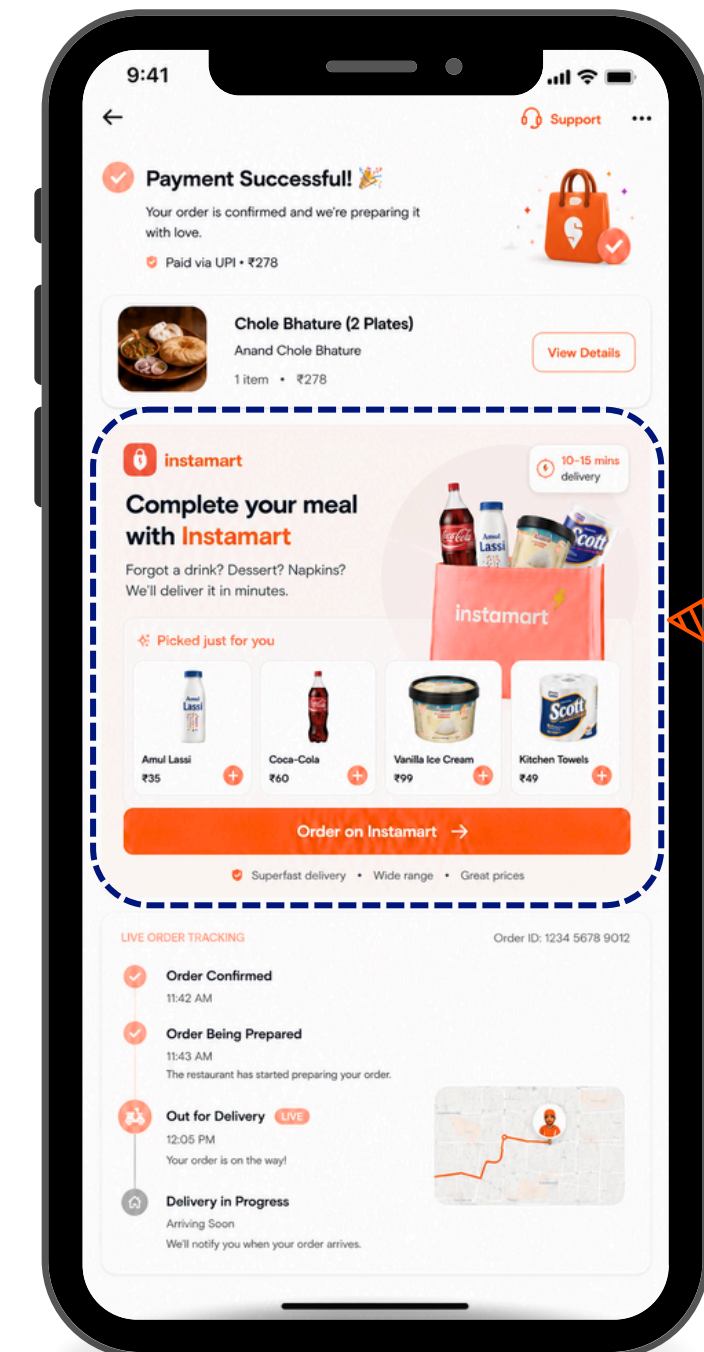
- Eliminates the need to search for products.
- Instantly adds selected items to the Instamart cart, reducing friction and increasing conversion.

#### Possible Impact

Bridges the gap between two different services and increases overall retention of customers respecting their convenience

WHERE DOES IT LIE IN THE USER JOURNEY

JUST AFTER THE ORDER IS PLACED



Higher Instamart adoption as more food-ordering customers are introduced to the grocery service.





## 02 THE HABIT BUILDER

WHERE DOES IT LIE IN THE USER JOURNEY

AFTER ORDER ( RETENTION )

### How does the solution work ?

- This solution introduces a streak-based reward system that encourages users to shop on Instamart consistently.
- Every consecutive weekly purchase extends the user's streak, increasing progress towards unlocking cashback on when there streak reaches the **hotspot**.
- Swiggy Cash replaces all other forms of reward points on Swiggy, making it redeemable across Food Delivery, Instamart, Dineout, Scenes and Giftables.
- By rewarding repeat behavior, the feature motivates users to make Instamart a regular shopping habit rather than an occasional choice.
- Reminder notifications encourage users before their streak expires.

### What Stands Out ?

Unlike coupon-based discounts that drive one-time purchases, this solution creates long-term habits by rewarding consistency. The ecosystem-wide Swiggy Cash further increases engagement across multiple Swiggy services, making the reward more valuable than competitor-specific incentives.

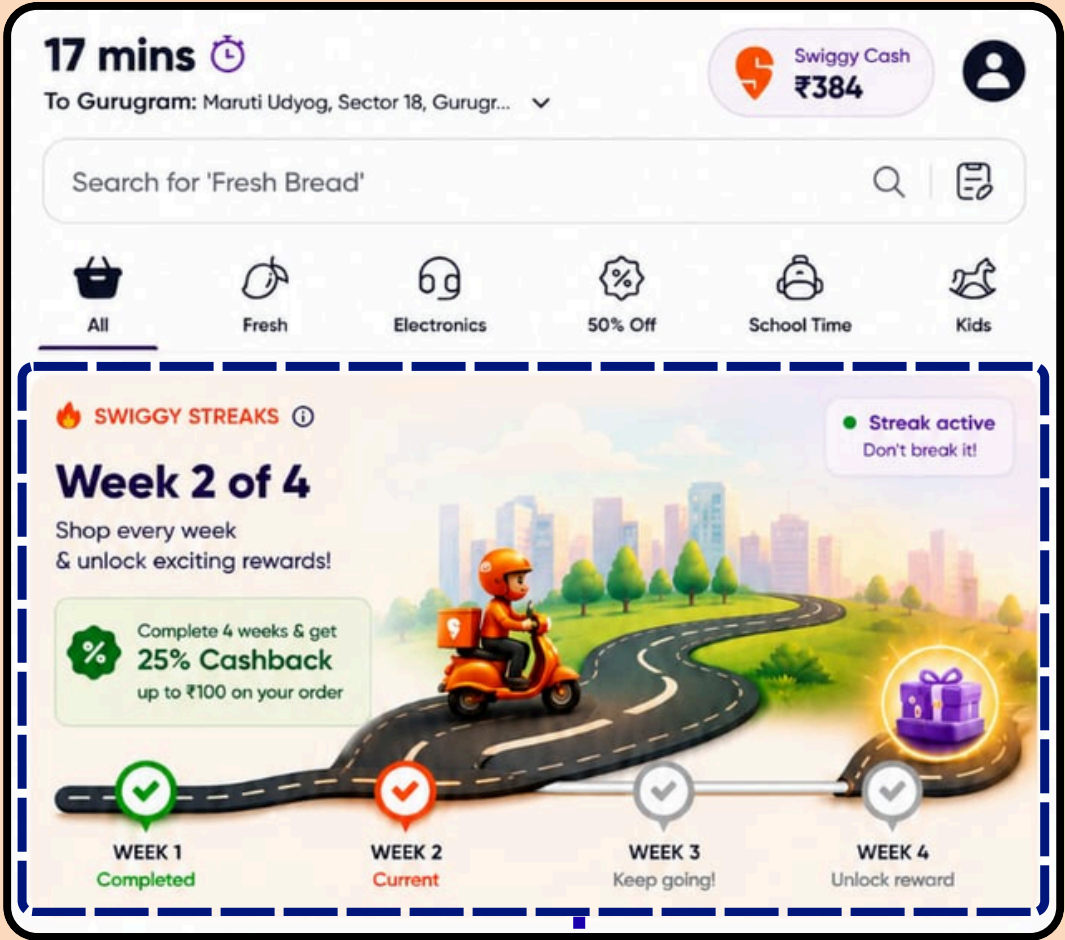
**Higher repeat purchase as users are incentivised to maintain shopping streaks and build long-term habits.**

# STREAKS UI/UX CHANGES DISPLAYED

Proposed changes and integration of the changes in current UI

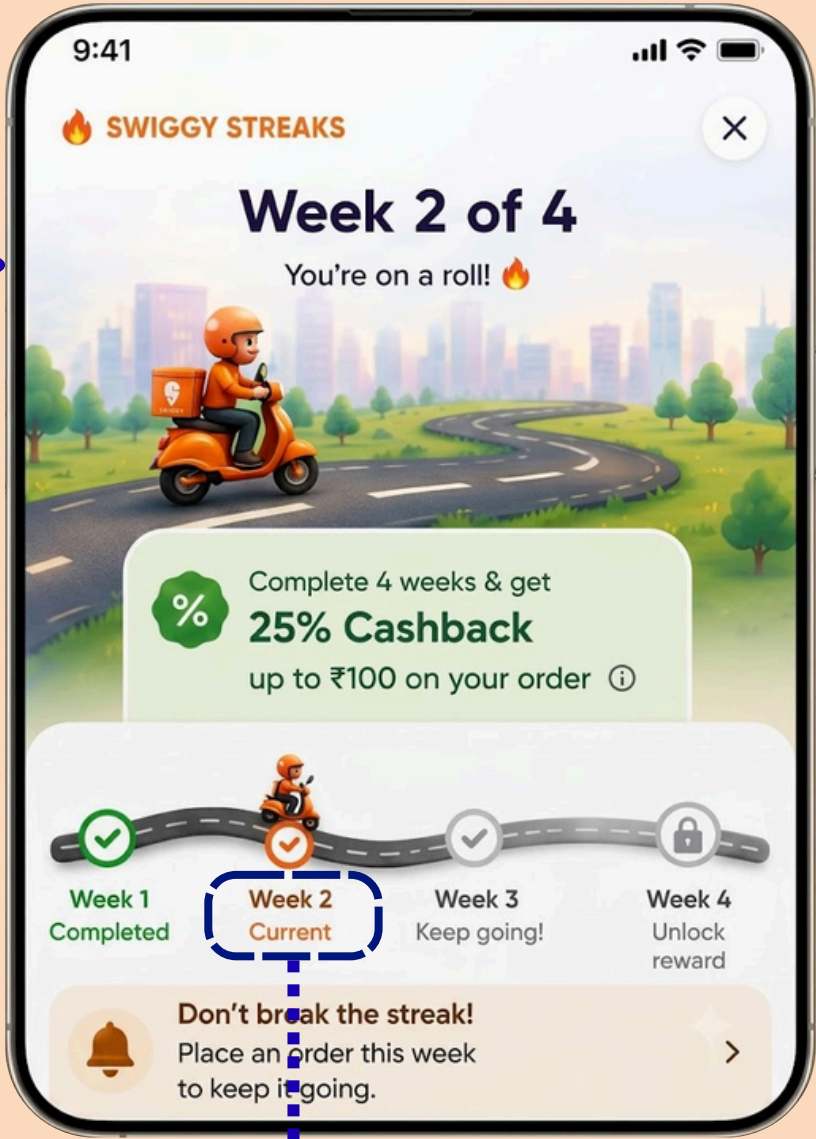


## 1. Streak Details (Homepage)



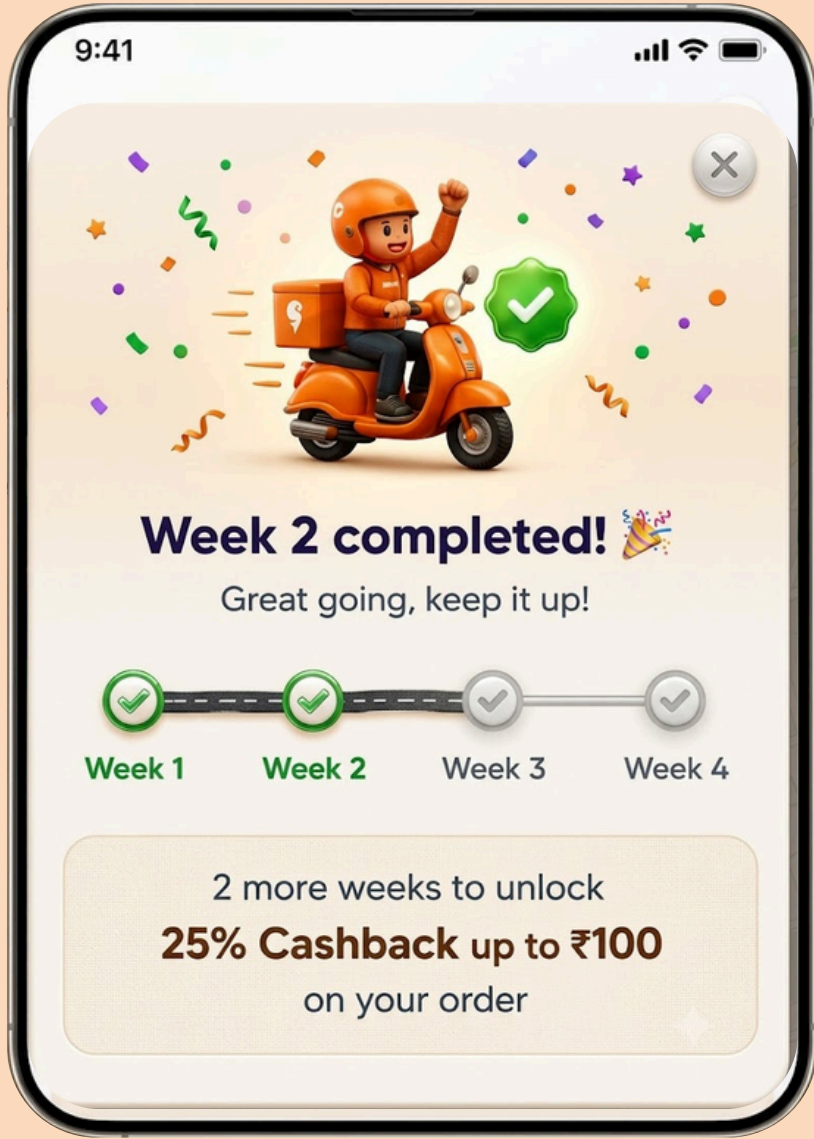
Live Tracking of repeat orders and an incentive roadmap to engage users to the app

## 2. Default View



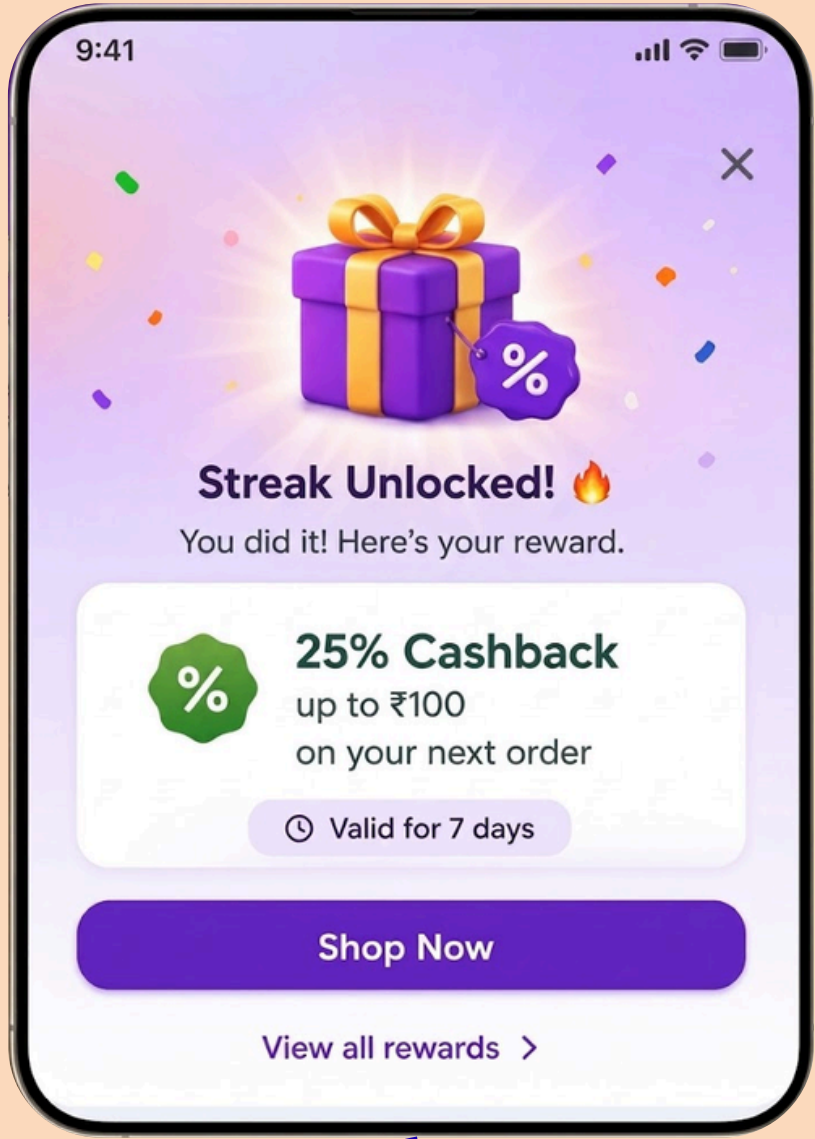
Tracking current progress by using streaks

## 3. Journey Tracker



Creates an urgency for the user and increases engagement

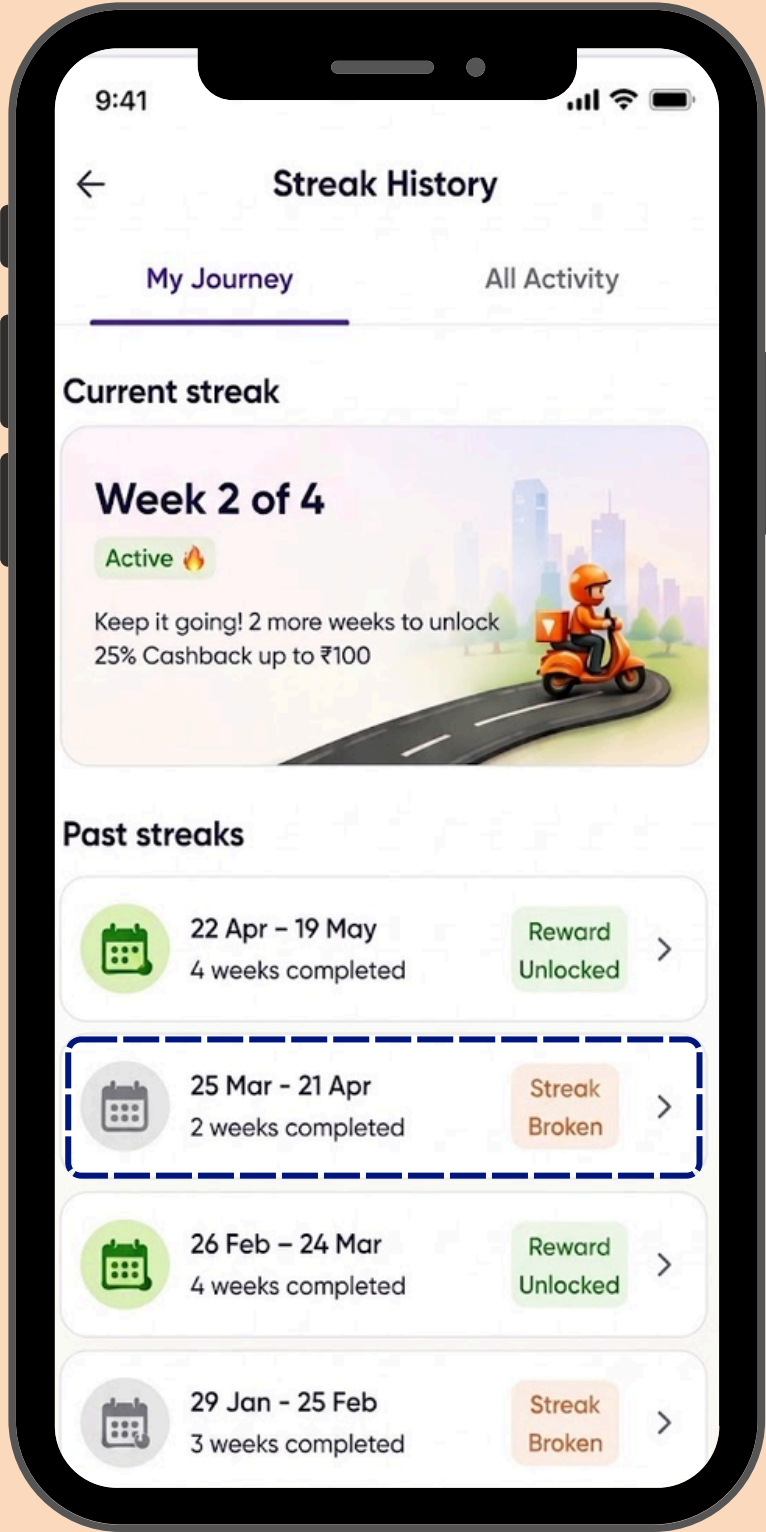
## 4. Rewards



Customers gets rewarded with incentives based on their weekly orders



5. Streak History

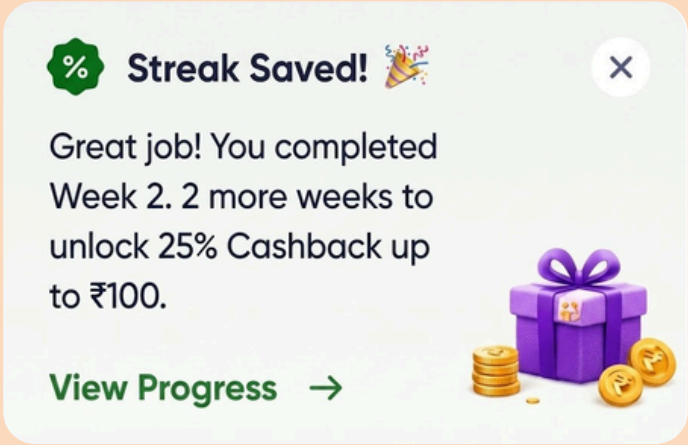


Allows **instamart** to stay on top of the mind

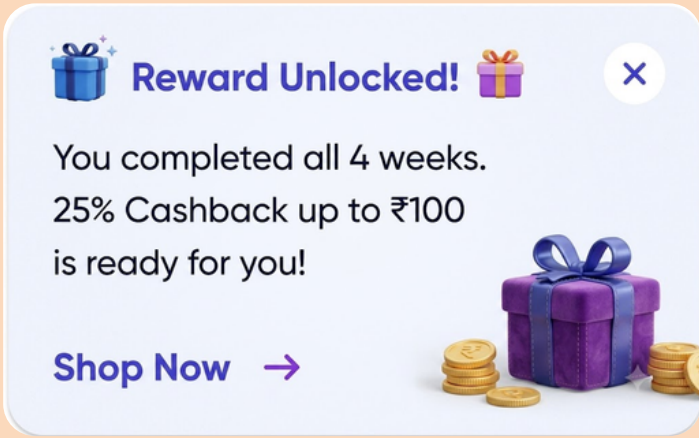
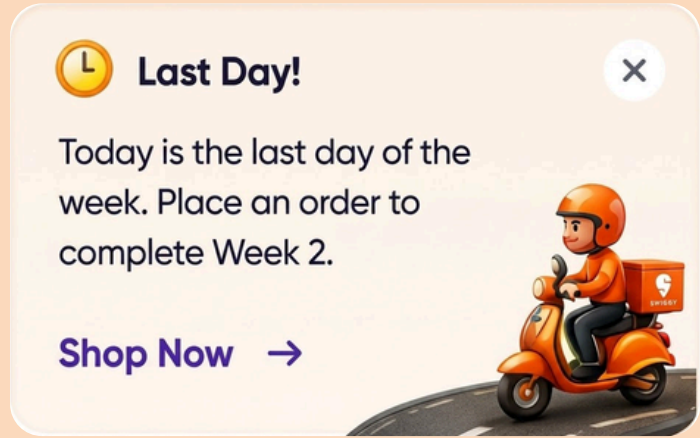
History allows users to know their past streaks and where they broke

Creates instant urgency and increase orders

6. Streak Reminders

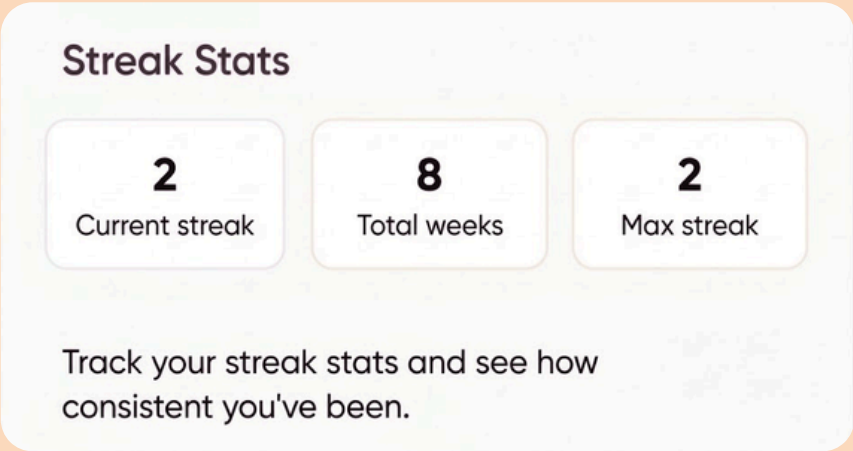


The user engages and gets a more personalised experience



Reward gives instant dopamine and increases user retentions

7. Other Ideas that can be integrated within STREAKS







### 03 THE MOONSHOT

#### How does the solution work ?

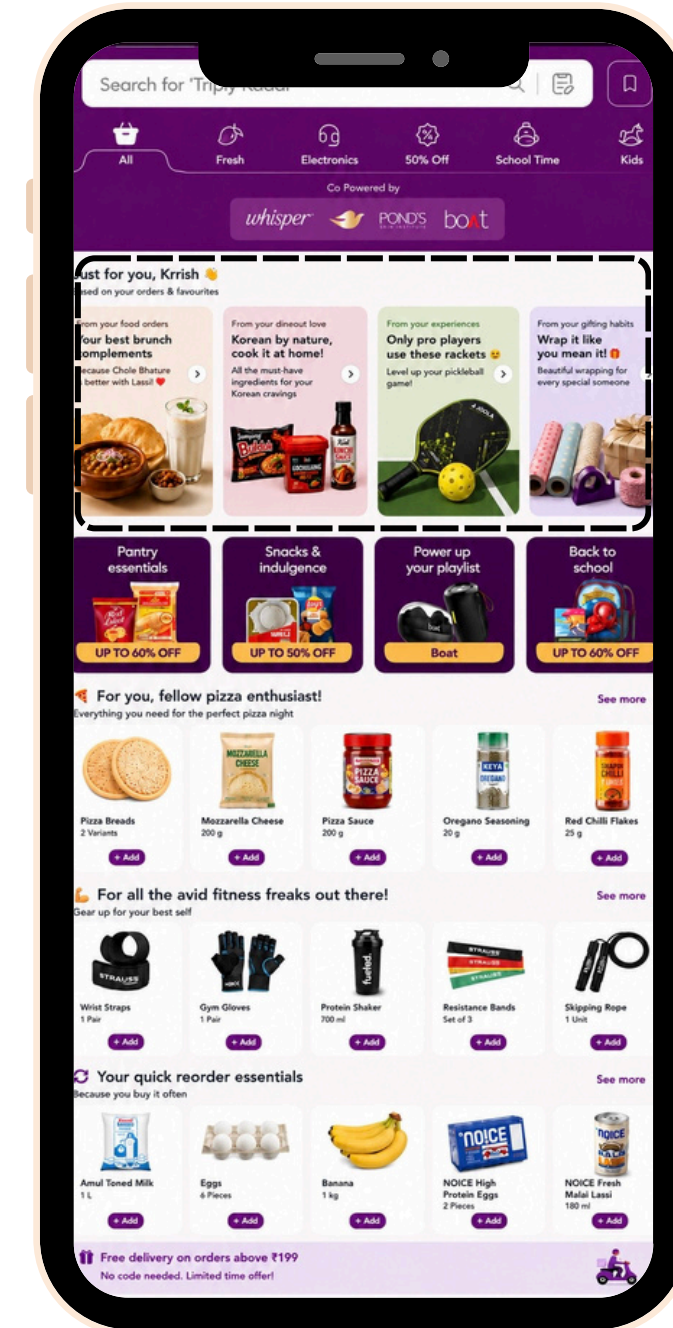
This solution transforms the Instamart homepage into a fully AI-personalized experience. Instead of showing the same interface to every user, the homepage dynamically adapts based on food orders, grocery purchases, dineout activity, gifting behavior, seasonal events, and browsing history. The AI predicts what users are most likely to need and prioritises those products, categories, and offers.

#### AI-Powered Personalization

- Homepage recommendations update in real time based on user behavior.
- Personalized categories, products, and offers are displayed first.
- AI identifies recurring purchase patterns and predicts future needs.

WHERE DOES IT LIE IN THE  
USER JOURNEY

HOMEPAGE



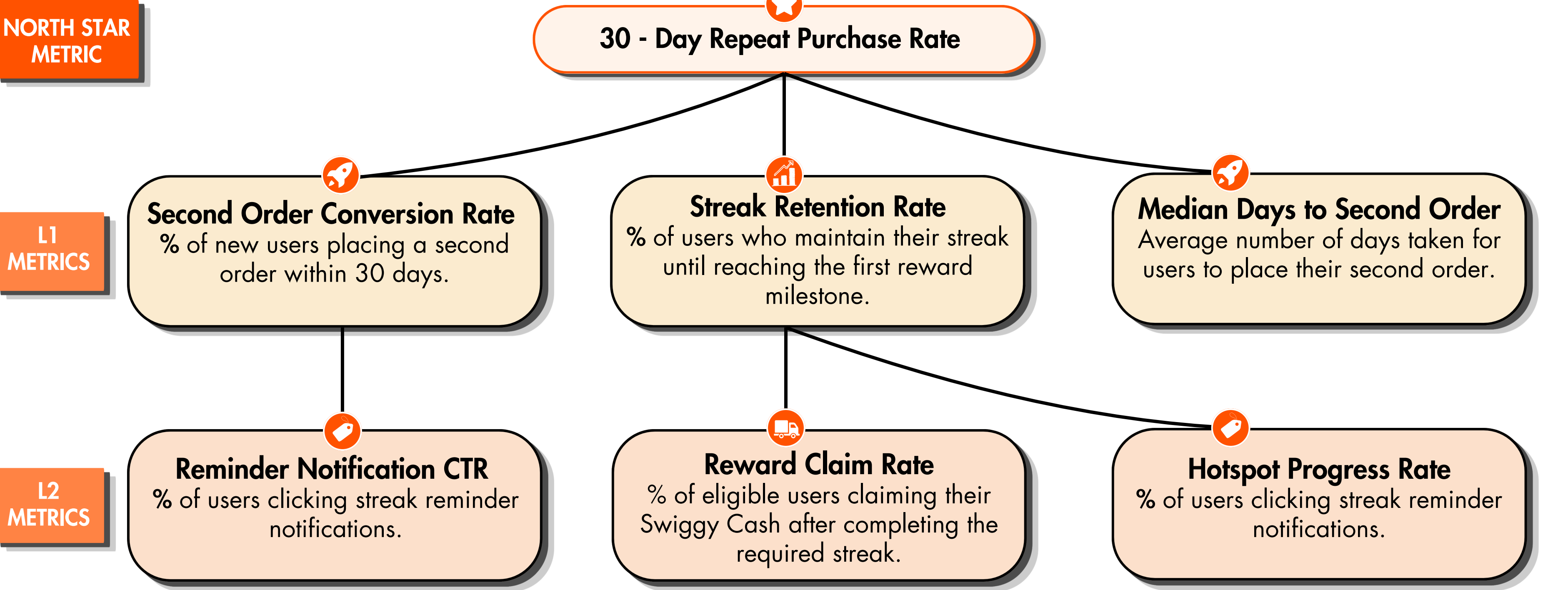
Higher engagement, increased conversions, and stronger long-term retention through a highly personalized shopping experience

|             | THE BASELINE FIX | STREAKS | MOONSHOT |
|-------------|------------------|---------|----------|
| FEASIBILITY | MEDIUM           | HIGH    | LOW      |
| IMPACT      | MEDIUM           | HIGH    | HIGH     |
| RISK        | MEDIUM           | LOW     | LOW      |
| COST EFFORT | MEDIUM           | MEDIUM  | HIGH     |

The assessment helps distinguish the strengths and limitations of each approach.

KEY INSIGHTS

- The **STREAKS** offers the strongest overall tradeoff high feasibility and impact with low risk and low implementation effort, making it the best near-term priority.
- The Moonshot promises high impact but requires significant effort, while the Baseline Fix is a balanced medium-impact, medium-effort option for incremental improvements.



KEY INSIGHT

A successful streak feature should encourage users to return consistently, shorten the time to their second purchase, and ultimately improve repeat purchase behavior.





Instamart

# THANK YOU

*“Winning the second order isn’t about another discount.  
It’s about becoming the **customer’s grocery habit**.”*

## PROJECT STREAKS

**Transforming Swiggy’s food ecosystem into a long-term grocery retention engine.**

**MADE BY:**

Shreyansh Gupta: [Linkedin](#) 